

Skeena Resources

Additional positive diamond drill core results as Eskay Creek progresses towards updated Resource

Skeena Resources (SKE) announced further diamond drill core results from the Phase 1 and Phase 2 combined campaigns on January the 20th and 28th at the Eskay Creek Project located in the Golden Triangle of British Columbia. The Phase 2 infill program, focusing on converting Inferred open-pit constrained resources to Indicated and Measured categories for the Pre-Feasibility Study (PFS) is now complete. SKE expects to publish an updated Resource statement on their findings in the near future. Additionally, the Project now features six active drill rigs performing near-mine exploration. The results are encouraging and demonstrate the likelihood of high grades within the proposed Eskay Creek open-pit. Notably, the intersection at 21C Zone SK-20-579 of 7.17 g/t Au, 146 g/t Ag (9.12 g/t AuEq) over 49.60m and at SK-20-584 of 5.69 g/t Au, 151 g/t Ag (7.70 g/t AuEq) over 22.11 m.

Completion of metallurgical testwork program in support of upcoming PFS for Eskay Creek

Skeena also announced the results of the recently completed metallurgical testwork in support of the upcoming PFS at Eskay Creek on January 26th. Consequently, a modified plant flowsheet has been produced which led to improved results over the flowsheet included in the Preliminary Economic Assessment for Eskay Creek. The program targeted fresh core samples from zones 21A, 21, B, 21C, 21E and HW along with samples included in previous PEA testwork. A desliming stage is now included in the process flowsheet so to improve flotation response for more coarse material which facilitates the opportunity to produce a higher gold concentrate grade but also to reduce capital costs. Crucially, this de-risks the Eskay Creek metallurgy and increases confidence in the process plant design for upcoming PFS.

Further infill results announced 28th Jan

Additional diamond drilling results from the Phase 2 infill program were announced on January 28th. The drilling focused on resource category conversion on open-pit constrained resources for the PFS at zones 21B and 21C. The intercepts continue to demonstrate the thickness, tenor and continuity of the resource and validate the predicted and modelled Inferred mineralization formed by widely spaced historical drill holes in the Skeena 2019 MRE. This is highlighted by intercepts of 5.38 g/t Au, 22 g/t Ag (5.67 g/t AuEq) over 71.85 m (SK-20-626) and corroborated by 8.82 g/t Au, 25 g/t Ag (9.15 g/t AuEq) over 25.50 m (SK-20-627). These intercepts are located 75 m north of the previously reported 7.17 g/t Au, 146 g/t Ag (9.12 g/t AuEq) over 49.60 m (SK-20-579). While we await the upcoming revised Mineral Resource Estimate, we believe these intercepts continue to support Skeena's internal M&I resource target of 5Moz at 5g/t.

C\$5.32/share target implies ~67% upside

Our NPV for Eskay Creek stands at C\$1.7bn (5% WACC), with gold and silver price assumptions of US\$1,950/oz and US\$25/oz, respectively. We apply a target P/NPV multiple of 0.7x to Eskay, then add ~C\$12.4m for Snip and adjust for G&A costs, net cash and the dilutive impact of outstanding options and warrants to derive a SOTP-based target of C\$5.32/share, 67% above yesterday's close at C\$3.22 /sh. However, we estimate that full conversion of Inferred material and an uplift in the total Resource to 5Moz at 5g/t could add a further ~C\$1.45/sh to give an "upside scenario" of >C\$6.7/sh, +111% from the current price (although this is arguably a conservative estimate as it assumes these incremental ounces would come at the end of the current mine plan).

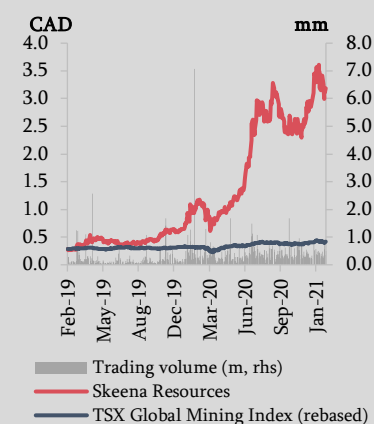
GICS Sector	Materials
Ticker	TSX : SKE
Market cap (C\$m, 29 Jan 21)	546
Share price (C\$, 1 Feb 21)	3.18
Target price (C\$, 31 Dec 21)	5.32

67%

Upside from current share price to C\$5.32/sh target price

93%

H&Pe Eskay Creek IRR, based on current gold & silver prices



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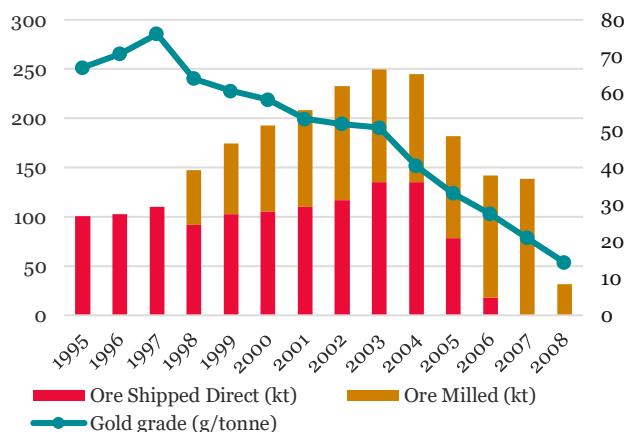
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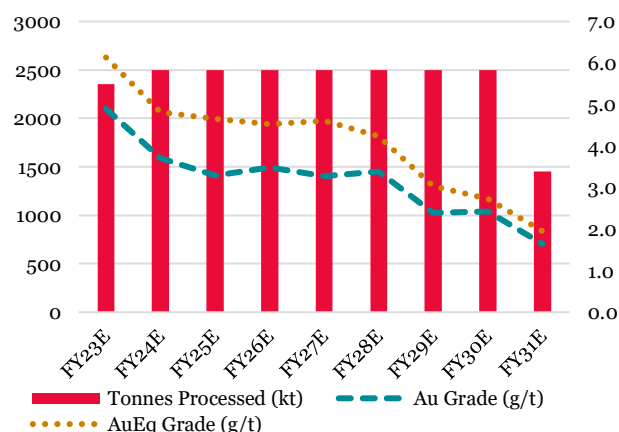
Eskay Creek – Key Charts

Eskay Creek historical u/g mine enjoyed phenomenal grades: throughput (kt, left axis) vs grade (g/t, right)



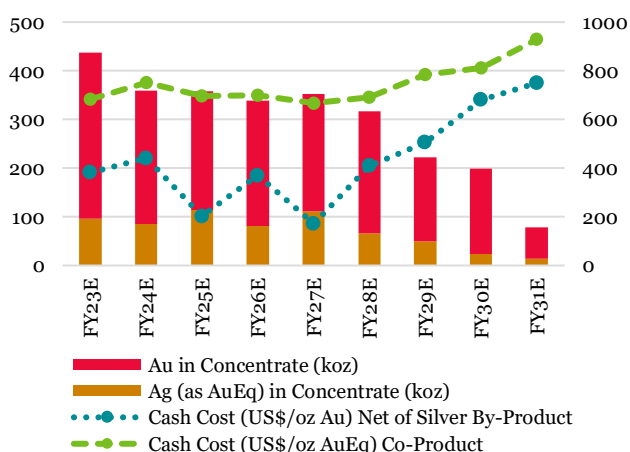
Source: Barrick Gold, Homestake Mining, Company reports.

Skeena's plan is significantly larger at 2.5Mtpa throughput & grades are amongst highest for an open-pit in N America



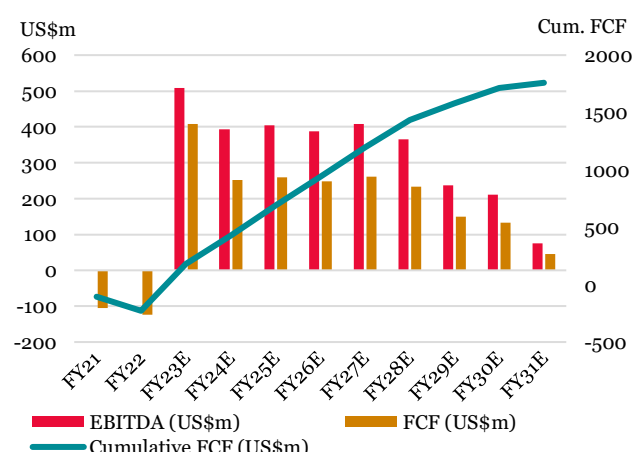
Source: Company reports, H&P estimates

Eskay Creek concentrate contained gold & silver (koz, right) and cash costs (US\$/oz, left)



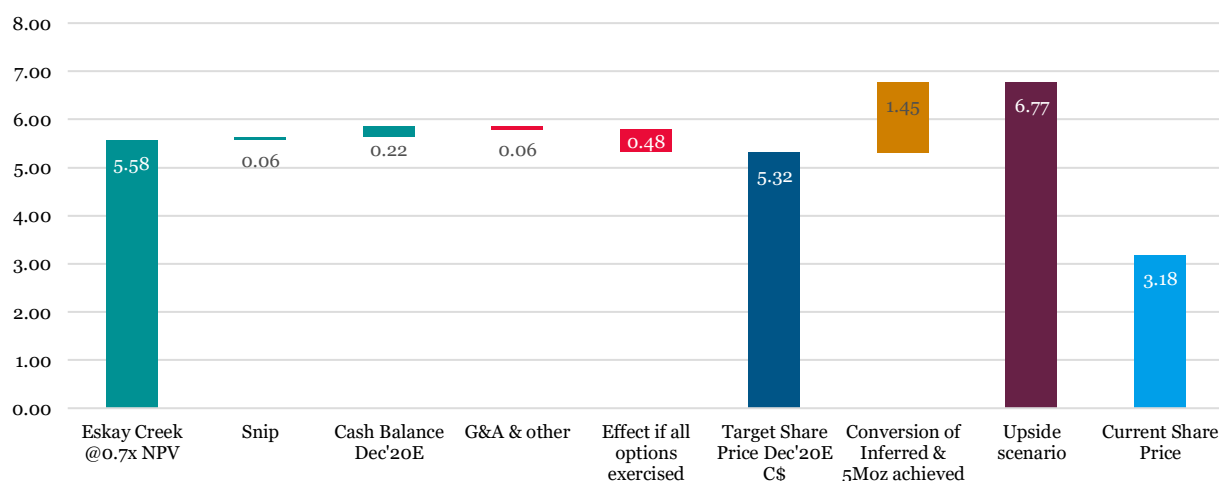
Source: Company reports, H&P estimates

H&P Eskay Creek EBITDA & FCF (left axis) & cumulative FCF (right) – strong initial grades drive short payback



Source: Company reports, H&P estimates

Eskay Creek's risked NPV provides huge potential per-share upside for Skeena with Dec'21 TP:C\$5.32



Source: Company reports, H&P estimates

Skeena - summary of current Resource base			Grade (g/t)			Contained metal (koz)		
Project	Category	Ore tonnes	Au	Ag	AuEq	Au	Ag	AuEq
Eskay Creek - OP	Indicated	12,650	4.28	109.81	5.75	1,740	44,660	2,340
	Inferred	14,420	2.26	46.85	2.89	1,050	21,720	1,340
Eskay Creek - UG	Indicated	819	6.42	138.88	8.28	169	3,657	218
	Inferred	295	7.17	82.03	8.22	68	778	78
Snip	Indicated	539	14.00	0.00	14.00	244	0	244
	Inferred	942	13.30	0.00	13.30	402	0	402
Total/average	Indicated	14,008	4.78	107.28	6.22	2,153	48,317	2,802
	Inferred	15,657	3.02	44.69	3.62	1,520	22,498	1,820

Source: Skeena Resources

Financial Statements Summary

Income statement							
Year end December		2019	2020E	2021E	2022E	2023E	2024E
Revenue	C\$m	-	-	-	-	815.3	674.3
Cost of Sales	C\$m	-	-	-	-	(124.8)	(135.6)
Depreciation	C\$m	(0.4)	-	-	-	(37.4)	(39.7)
Gross profit/(loss)	C\$m	-	-	-	-	690.5	538.7
Total operating costs	C\$m	(17.5)	(49.2)	(2.5)	(2.5)	(52.3)	(55.5)
Operating profit/(loss)	C\$m	(17.5)	(49.2)	(2.5)	(2.5)	638.2	483.2
Interest income	C\$m	0.1	0.4	0.4	0.2	3.6	9.3
Finance Costs	C\$m	(0.1)	-	-	-	-	-
FX gains/losses	C\$m	(0.0)	-	-	-	-	-
Other gains/(losses)	C\$m	(9.5)	-	-	-	-	-
Profit/(Loss) before tax	C\$m	(27.1)	(48.8)	(2.1)	(2.3)	641.8	492.5
Income tax (expense) / benefit	C\$m	-	-	-	-	(224.1)	(172.0)
Net profit/(loss)	C\$m	(27.1)	(48.8)	(2.1)	(2.3)	417.7	320.5
EBITDA	C\$m	(17.5)	-	-	-	676.3	523.5

Cash flow statement							
Year end December		2019	2020E	2021E	2022E	2023E	2024E
Profit/(loss) before tax	C\$m	(27.1)	(48.8)	(2.1)	(2.3)	641.8	492.5
Depreciation & amortisation	C\$m	0.4	-	-	-	37.4	39.7
Working capital change (increase)/decrease	C\$m	4.2	0.2	(0.0)	(0.1)	(68.8)	11.7
Tax (paid)/received	C\$m	-	-	-	-	(129.8)	(182.5)
Other non-cash expenditures	C\$m	12.0	0.0	0.0	0.0	-	-
CFO	C\$m	(10.5)	(48.5)	(2.1)	(2.4)	480.6	361.4
Additions to PPE	C\$m	0.5	7.5	(149.6)	(163.5)	(5.0)	(10.3)
Other	C\$m	(0.1)	(5.3)	(0.3)	(0.3)	(0.2)	(0.1)
CFI	C\$m	0.4	2.2	(149.9)	(163.8)	(5.2)	(10.4)
Minimum debt repayments	C\$m	-	-	-	-	-	-
Other movement in net debt	C\$m	-	-	-	-	-	-
New equity issued	C\$m	22.1	80.9	-	-	-	-
Other	C\$m	-	-	115.0	170.0	-	-
CFF	C\$m	22.1	80.9	115.0	170.0	-	-
Net change in cash	C\$m	12.0	34.6	(37.0)	3.8	475.3	351.1
FX impact on cash & equivalents	C\$m	-	-	-	-	-	-
Beginning cash & equivalents	C\$m	1.1	13.1	47.7	10.7	14.5	489.8
Ending cash & equivalents	C\$m	13.1	47.7	10.7	14.5	489.8	840.8

Balance sheet							
Year end December		2019	2020E	2021E	2022E	2023E	2024E
Cash	C\$m	13.1	47.7	10.7	14.5	489.8	840.8
Receivables	C\$m	2.2	2.2	2.2	2.2	67.0	55.3
Inventory	C\$m	-	-	-	-	10.3	11.1
Other	C\$m	3.7	3.4	3.5	3.5	3.5	3.5
Current Assets	C\$m	19.0	53.4	16.4	20.2	570.5	910.7
PPE	C\$m	1.9	(5.6)	144.0	307.6	275.2	245.8
Other	C\$m	3.5	8.5	8.5	8.5	8.5	19.0
Non Current Assets	C\$m	5.4	2.9	152.5	316.1	283.7	264.8
Payables	C\$m	4.1	4.1	4.1	4.1	10.3	11.1
Short Term Debt	C\$m	-	-	-	-	-	-
Other	C\$m	4.3	4.3	4.3	4.3	4.2	4.1
Current Liabilities	C\$m	8.4	8.4	8.4	8.4	14.5	15.2
Long term debt	C\$m	-	-	-	-	-	-
Other	C\$m	4.4	4.1	3.8	3.5	97.7	97.8
Non Current Liabilities	C\$m	4.4	4.1	3.8	3.5	97.7	97.8
Total Equity	C\$m	11.6	43.8	41.7	39.4	457.0	777.6
Other	C\$m	-	-	115.0	285.0	285.0	285.0

Source: H&P estimates, Company reports.

Operations and Valuations Summary

Ratios & other key items		2019	2020E	2021E	2022E	2023E	2024E
Year end December							
Yr end shares issued	m	107.9	180.0	213.2	213.2	213.2	213.2
Revenue Growth	%	NA	NA	NA	NA	NA	-17%
EBITDA margin	%	NA	NA	NA	NA	83%	78%
EBIT margin	%	NA	NA	NA	NA	78%	72%
Net cash/(debt)	C\$m	13.1	47.7	(104.3)	(270.5)	204.8	555.8
Net debt/equity	%	-113%	-109%	250%	687%	-45%	-71%
FCF	C\$m	(13.2)	2.9	(149.5)	(163.7)	391.9	363.1
FCF/share	C\$/sh	(0.1)	0.0	(0.7)	(0.8)	1.8	1.7
Capital employed	C\$m	16.05	47.91	45.53	42.89	554.72	875.33
EPS	C\$m	(25.09)	(27.09)	(0.97)	(1.10)	195.91	150.34
ROCE	%	-109%	-103%	-5%	-6%	115%	55%
ROE	%	-233%	-111%	-5%	-6%	91%	41%
EV/EBITDA	x	NA	NA	NA	NA	0.7	0.2
EV/Sales	x	NA	NA	NA	NA	0.6	0.2

Production volumes		2019	2020E	2021E	2022E	2023E	2024E
Year end December							
Gold contained in concentrate	koz	-	-	-	-	341	275
Silver contained in concentrate	koz	-	-	-	-	7,507	6,610
Gold equivalent contained in concentrate	koz	-	-	-	-	437	359
Payable gold in concentrate	koz	-	-	-	-	324	261
Payable silver in concentrate	koz	-	-	-	-	6,006	5,288
Payable gold equivalent in concentrate	koz	-	-	-	-	401	329

Gold and Silver Price Assumptions		2019	2020E	2021E	2022E	2023E	2024E
Year end December							
Gold Price	US\$/oz	1,287	1,789	1,950	1,950	1,950	1,950
Silver Price	US\$/tonne	16	16	25	25	25	25

Cash Costs		2019	2020E	2021E	2022E	2023E	2024E
Year end December							
Cash costs/t Au product	US\$/oz	-	-	-	-	381	441
Total Cash Cost	US\$m	-	-	-	-	274	247
Cost of sales (P&L)	C\$m	-	-	-	-	(125)	(136)

Reserves & Resources (gold equivalent)		Eskay Creek	Snip	Total
Reserves: (P,P)	koz	-	-	-
Resources (M&I)	koz	2,558	244	2,802
Resources: (Inferred)	koz	1,418	402	1,820

Market cap, net debt & enterprise value		2019	2020E	2021E	2022E	2023E	2024E
Year end December							
Market Cap (Yr end)	C\$m	681.2	681.2	681.2	681.2	681.2	681.2
Net Cash/(Debt)	C\$m	13.1	47.7	(104.3)	(270.5)	204.8	555.8
EV	C\$m	668.1	633.5	785.5	951.7	476.4	125.3

Valuation/ Price Target Derivation - Dec'20E		Value	Target Multiple	Target Value
Year end December				
Eskay Creek	C\$m	1,706.1	0.7	1,194.2
Snip	C\$m	12.4	1.0	12.4
Cash Balance at Dec' 20E	C\$m	47.7		47.7
Environmental bond	C\$m	(7.7)		(7.7)
G&A	C\$m	(5.8)		(5.8)
Total Value	C\$m	1,752.7		1,240.9
Shares out - undiluted	m	214.2		214.2
NPV / Target Price per share - undiluted	C\$ cents	818		579
Cash inflow from options & warrants if exercised	C\$m	43.3		43.3
Shares issued if options & warrants exercised	m	27.3		27.3
NPV / Target Price per share - diluted	C\$ cents	744		532
Current share price	C\$ cents	318.0		318.0
Upside/downside from current share price	%	157%		67%

Source: H&P estimates, Company reports, CapIQ.

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